expenditure. About a quarter of all the resources the government raises every year—tax, non-tax and debt taken together—only goes to service interest on the debt and liabilities undertaken in previous years. This is an extraordinary pre-emption of resources.

The combined expenditure of the Central government (actuals) in 2017–18 on interest payments (Rs 5,28,952 crore) and establishment (Rs 4,73,031 crore) was Rs 10,01,983 crore, which turned out to be in excess of 45 per cent of the total expenditure of Rs 21,41,973 crore incurred. Whenever we talk about the ability of the Central government to adjust its expenditure, we need to remember that close to half its expenditure is beyond its control. It is the first charge on revenues and debt raised, and has to be paid.

The gargantuan burden of interest payment is a good enough reason to consider moderating fiscal deficit and debt overhang.

Is India's Credit Rating Affected by the Large Deficit and Debt Overhang?

Sovereign credit ratings are material in determining access to internal credit and the price at which such credit can become available to sovereign, sub-sovereign and private corporates. Indian corporates—in the public and private sectors—borrowed close to $30 billion in 2019 from international debt markets. The country has an investment-grade sovereign debt rating from all the major rating agencies. Sovereign credit rating works as the base of credit rating for corporations. No corporate from India can get a rating better than this.

Global market intelligence provider S&P uses two key measures while assessing the fiscal performance of the governments it rates. One relates to change in net general government debt as a percentage of GDP. This is nothing but fiscal deficit. On a scale of one to six, where one is assessed as the strongest and six the weakest, fiscal deficit of 0–1 per cent of the GDP